IFRS S2

Climate-related Disclosures

Key Requirements Summary

Standard Structure (Para 5–37)

Pillar	Paragraphs	System Use	Template Var
Governance	Para 5–10	Section 6.4 — Governance Template	{rag_context_governance}
Strategy	Para 11–22	Climate risk narrative, scenario analysis, transition plan	{rag_context_strategy}
Risk Mgmt	Para 23–26	Risk identification & monitoring processes	{rag_context_risk}
Metrics & Targets	Para 27–37	GHG emissions, cross-industry metrics, targets	{rag_context_metrics}

Source: IFRS S2 Climate-related Disclosures (June 2023)

Companion: Industry-based Guidance on Implementing IFRS S2 (SASB Standards)

Pillar 1: Governance (Para 5–10)

Template Variable: `{rag_context_governance}`

> ℹ *This is the PRIMARY template for Section 6.4 of the generated sustainability report. Scope: governance body oversight (Para 5-7) + strategy objective & climate risk/opportunity identification that the board oversees (Para 8-10). The AI system uses Para 6(a)(i)–(v), 6(b)(i)–(ii), and 10(a)–(d) as the mandatory disclosure checklist.*

Paragraph 5 — Objective

5 The objective of climate-related financial disclosures on governance is to enable users of general purpose financial reports to understand the governance processes, controls and procedures an entity uses to monitor, manage and oversee climate-related risks and opportunities.

Paragraph 6 — Disclosure Requirements

6 To achieve this objective, an entity shall disclose information about:

(a) the governance body(s) (which can include a board, committee or equivalent body charged with governance) or individual(s) responsible for oversight of climate-related risks and opportunities. Specifically, the entity shall identify that body(s) or individual(s) and disclose information about:

(i) how responsibilities for climate-related risks and opportunities are reflected in the terms of reference, mandates, role descriptions and other related policies applicable to that body(s) or individual(s);

(ii) how the body(s) or individual(s) determines whether appropriate skills and competencies are available or will be developed to oversee strategies designed to respond to climate-related risks and opportunities;

(iii) how and how often the body(s) or individual(s) is informed about climate-related risks and opportunities;

(iv) how the body(s) or individual(s) takes into account climate-related risks and opportunities when overseeing the entity's strategy, its decisions on major transactions and its risk management processes and related policies, including whether the body(s) or individual(s) has considered trade-offs associated with those risks and opportunities; and

(v) how the body(s) or individual(s) oversees the setting of targets related to climate-related risks and opportunities, and monitors progress towards those targets (see paragraphs 33–36), including whether and how related performance metrics are included in remuneration policies (see paragraph 29(g)).

(b) management's role in the governance processes, controls and procedures used to monitor, manage and oversee climate-related risks and opportunities, including information about:

(i) whether the role is delegated to a specific management-level position or management-level committee and how oversight is exercised over that position or committee; and

(ii) whether management uses controls and procedures to support the oversight of climate-related risks and opportunities and, if so, how these controls and procedures are integrated with other internal functions.

Paragraph 7 — Avoiding Duplication

7 In preparing disclosures to fulfil the requirements in paragraph 6, an entity shall avoid unnecessary duplication in accordance with IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information (IFRS S1). For example, although an entity shall provide the information required by paragraph 6, if oversight of sustainability-related risks and opportunities is managed on an integrated basis, the entity would avoid duplication by providing integrated governance disclosures instead of separate disclosures for each sustainability-related risk and opportunity.

Paragraphs 8–9 — Strategy Objective (Governance Context)

> ℹ *Para 8-9 define WHAT the governance body must oversee in terms of strategy. Bundled here because the board needs this context to fulfil its oversight role under Para 6(a)(iv).*

8 The objective of climate-related financial disclosures on strategy is to enable users of general purpose financial reports to understand an entity's strategy for managing climate-related risks and opportunities.

9 Specifically, an entity shall disclose information to enable users to understand:

(a) the climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects (see paragraphs 10–12);

(b) the current and anticipated effects on the entity's business model and value chain (see paragraph 13);

(c) the effects on the entity's strategy and decision-making, including its climate-related transition plan (see paragraph 14);

(d) the effects on the entity's financial position, financial performance and cash flows (see paragraphs 15–21); and

(e) the climate resilience of the entity's strategy and business model (see paragraph 22).

Paragraph 10 — Climate Risk & Opportunity Identification

> ℹ *Para 10 defines what the governance body must ensure is identified and disclosed. This is the foundational input for governance oversight.*

10 An entity shall disclose information that enables users of general purpose financial reports to understand the climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects. Specifically, the entity shall:

(a) describe climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects;

(b) explain, for each climate-related risk the entity has identified, whether the entity considers the risk to be a climate-related physical risk or climate-related transition risk;

(c) specify, for each climate-related risk and opportunity the entity has identified, over which time horizons—short, medium or long term—the effects could reasonably be expected to occur; and

(d) explain how the entity defines 'short term', 'medium term' and 'long term' and how these definitions are linked to the planning horizons used by the entity for strategic decision-making.

Disclosure Checklist — AI System Requirements

> ℹ *When generating Section 6.4, the AI must verify each item below is addressed in the output. Mark as "Disclosed" or "Not Applicable" with justification.*

#	Disclosure Item	BCA Data Source
6(a)(i)	Responsibilities in terms of reference / mandates	Board Charter, Committee ToR
6(a)(ii)	Skills & competencies for climate oversight	Director profiles, training records
6(a)(iii)	Frequency of climate risk briefings	Board meeting minutes, agenda items
6(a)(iv)	Integration with strategy & major transactions	Strategy docs, transaction reviews

6(a)(v)	Target-setting oversight & remuneration linkage	KPI scorecards, remuneration policy
6(b)(i)	Management delegation & oversight mechanism	Org chart, committee structure
6(b)(ii)	Controls & integration with internal functions	Risk framework, internal audit
10(a)	Describe climate risks & opportunities affecting prospects	p.59-61 Climate Risk
10(b)	Classify as physical risk or transition risk	p.59-61 Risk categories
10(c)	Time horizons (short/medium/long term) for each	Risk assessment matrix
10(d)	Define S/M/L term & link to planning horizons	Strategic plan timeframes

Pillar 2: Strategy (Para 11–22)

Template Variable: `{rag_context_strategy}`

> ℹ *Strategy disclosures (from Para 11 onwards, since Para 8-10 are bundled in Governance context) cover: information sources for risk identification, business model impacts, strategy & decision-making (incl. transition plan), financial effects, and climate resilience via scenario analysis.*

Paragraphs 11–12 — Information Sources & Industry Guidance

11 In identifying the climate-related risks and opportunities that could reasonably be expected to affect an entity's prospects, the entity shall use all reasonable and supportable information that is available to the entity at the reporting date without undue cost or effort, including information about past events, current conditions and forecasts of future conditions.

12 In identifying the climate-related risks and opportunities that could reasonably be expected to affect an entity's prospects, the entity shall refer to and consider the applicability of the industry-based disclosure topics defined in the Industry-based Guidance on Implementing IFRS S2.

Paragraph 13 — Business Model and Value Chain

13 An entity shall disclose information that enables users of general purpose financial reports to understand the current and anticipated effects of climate-related risks and opportunities on the entity's business model and value chain. Specifically, the entity shall disclose:

(a) a description of the current and anticipated effects of climate-related risks and opportunities on the entity's business model and value chain; and

(b) a description of where in the entity's business model and value chain climate-related risks and opportunities are concentrated (for example, geographical areas, facilities and types of assets).

Paragraph 14 — Strategy, Decision-making & Transition Plan

14 An entity shall disclose information that enables users of general purpose financial reports to understand the effects of climate-related risks and opportunities on its strategy and decision-making. Specifically, the entity shall disclose:

(a) information about how the entity has responded to, and plans to respond to, climate-related risks and opportunities in its strategy and decision-making, including how the entity plans to achieve any climate-related targets it has set. Specifically:

(i) current and anticipated changes to the entity's business model, including its resource allocation, to address climate-related risks and opportunities (for example, plans to manage or decommission carbon-, energy- or water-intensive operations; resource allocations resulting from demand or supply-chain changes; acquisitions or divestments);

(ii) current and anticipated direct mitigation and adaptation efforts (for example, through changes in production processes or equipment, relocation of facilities, workforce adjustments, and changes in product specifications);

(iii) current and anticipated indirect mitigation and adaptation efforts (for example, through working with customers and supply chains);

(iv) any climate-related transition plan the entity has, including information about key assumptions used in developing its transition plan, and dependencies on which the entity transition plan relies; and

(v) how the entity plans to achieve any climate-related targets, including any greenhouse gas emissions targets, described in accordance with paragraphs 33–36.

(b) information about how the entity is resourcing, and plans to resource, the activities disclosed in accordance with paragraph 14(a).

(c) quantitative and qualitative information about the progress of plans disclosed in previous reporting periods in accordance with paragraph 14(a).

Paragraphs 15–21 — Financial Position, Performance and Cash Flows

15 An entity shall disclose information that enables users to understand:

(a) the effects of climate-related risks and opportunities on the entity's financial position, financial performance and cash flows for the reporting period (current financial effects); and

(b) the anticipated effects of climate-related risks and opportunities on the entity's financial position, financial performance and cash flows over the short, medium and long term, taking into consideration how climate-related risks and opportunities are included in the entity's financial planning (anticipated financial effects).

16 Specifically, an entity shall disclose quantitative and qualitative information about:

(a) how climate-related risks and opportunities have affected its financial position, financial performance and cash flows for the reporting period;

(b) the climate-related risks and opportunities identified in paragraph 16(a) for which there is a significant risk of a material adjustment within the next annual reporting period to the carrying amounts of assets and liabilities reported in the related financial statements;

(c) how the entity expects its financial position to change over the short, medium and long term, given its strategy to manage climate-related risks and opportunities, taking into consideration: (i) its investment and disposal plans, (ii) its planned sources of funding to implement its strategy; and

(d) how the entity expects its financial performance and cash flows to change over the short, medium and long term, given its strategy to manage climate-related risks and opportunities.

19–21 Relief provisions: An entity need not provide quantitative information about current or anticipated financial effects if: (a) those effects are not separately identifiable; or (b) the level of measurement uncertainty is so high that the quantitative information would not be useful; or the entity does not have the skills, capabilities or resources. In such cases, the entity shall explain why, provide qualitative information, and provide combined quantitative information if useful.

Paragraph 22 — Climate Resilience & Scenario Analysis

22 An entity shall disclose information that enables users of general purpose financial reports to understand the resilience of the entity's strategy and business model to climate-related changes, developments and uncertainties. The entity shall use climate-related scenario analysis to assess its climate resilience using an approach that is commensurate with the entity's circumstances. Specifically, the entity shall disclose:

(a) the entity's assessment of its climate resilience as at the reporting date, including:

(i) the implications, if any, of the entity's assessment for its strategy and business model;

(ii) the significant areas of uncertainty considered in the entity's assessment of its climate resilience;

(iii) the entity's capacity to adjust or adapt its strategy and business model to climate change over the short, medium and long term, including: (1) availability of financial resources, (2) ability to redeploy/repurpose/decommission assets, (3) effect of current and planned climate investments;

(b) how and when the climate-related scenario analysis was carried out, including:

(i) information about the inputs: which scenarios used and sources, whether diverse range included, whether aligned with latest international agreement on climate change, time horizons, scope of operations;

(ii) key assumptions: climate-related policies, macroeconomic trends, national/regional variables, energy usage and mix, technology developments;

(iii) the reporting period in which the scenario analysis was carried out.

Disclosure Checklist — AI System Requirements

Paragraph	Key Disclosure	BCA SR Reference
Para 10(a)-(d)	Identify risks/opportunities + time horizons + define S/M/L term	p.59-61
Para 12	Refer to Industry-based Guidance (SASB)	p.122-125
Para 13	Business model & value chain effects	p.39-41, p.62-64
Para 14(a)(iv)	Transition plan + assumptions + dependencies	p.89-95 (NZE)
Para 15-16	Current + anticipated financial effects	Financial statements
Para 22	Scenario analysis + climate resilience assessment	p.59-61

Pillar 3: Risk Management (Para 23–26)

Template Variable: `{rag_context_risk}`

ℹ *Risk Management disclosures describe PROCESSES (not outcomes). The AI system should generate narrative describing how the entity identifies, assesses, prioritises and monitors climate risks, and how these integrate with overall risk management.*

Paragraph 24 — Objective

24 The objective of climate-related financial disclosures on risk management is to enable users of general purpose financial reports to understand an entity's processes to identify, assess, prioritise and monitor climate-related risks and opportunities, including whether and how those processes are integrated into and inform the entity's overall risk management process.

Paragraph 25 — Disclosure Requirements

25 To achieve this objective, an entity shall disclose information about:

(a) the processes and related policies the entity uses to identify, assess, prioritise and monitor climate-related risks, including information about:

(i) the inputs and parameters the entity uses (for example, information about data sources and the scope of operations covered in the processes);

(ii) whether and how the entity uses climate-related scenario analysis to inform its identification of climate-related risks;

(iii) how the entity assesses the nature, likelihood and magnitude of the effects of those risks (for example, whether the entity considers qualitative factors, quantitative thresholds or other criteria);

(iv) whether and how the entity prioritises climate-related risks relative to other types of risk;

(v) how the entity monitors climate-related risks; and

(vi) whether and how the entity has changed the processes it uses compared with the previous reporting period;

(b) the processes the entity uses to identify, assess, prioritise and monitor climate-related opportunities, including information about whether and how the entity uses climate-related scenario analysis to inform its identification of climate-related opportunities; and

(c) the extent to which, and how, the processes for identifying, assessing, prioritising and monitoring climate-related risks and opportunities are integrated into and inform the entity's overall risk management process.

Paragraph 26 — Avoiding Duplication

26 In preparing disclosures to fulfil the requirements in paragraph 25, an entity shall avoid unnecessary duplication in accordance with IFRS S1. For example, although an entity shall provide the information required by paragraph 25, if oversight of sustainability-related risks and opportunities is managed on an integrated basis, the entity would avoid duplication by providing integrated risk management disclosures instead of separate disclosures for each sustainability-related risk and opportunity.

Disclosure Checklist — AI System Requirements

Paragraph	Key Disclosure	BCA SR Reference
25(a)(i)	Inputs, parameters, data sources, scope	p.59-61
25(a)(ii)	Use of scenario analysis for risk identification	p.59-61
25(a)(iii)	Nature, likelihood, magnitude assessment	Risk framework
25(a)(iv)	Prioritisation vs other risk types	ERM integration
25(a)(v-vi)	Monitoring + changes from prior period	Annual comparison
25(b)	Process for climate-related opportunities	p.51-58 (SF)
25(c)	Integration with overall risk management	ERM framework

Pillar 4: Metrics & Targets (Para 27–37)

Template Variable: `{rag_context_metrics}`

> ℹ️ *Metrics & Targets is the most data-intensive pillar. It defines 7 cross-industry metric categories (Para 29), industry-based metrics (Para 32/SASB), and target disclosure requirements (Para 33-37). For banking: Category 15 financed emissions and SASB FN-CB-410a are the key industry-specific requirements.*

Paragraphs 27–28 — Objective & Structure

27 The objective of climate-related financial disclosures on metrics and targets is to enable users of general purpose financial reports to understand an entity's performance in relation to its climate-related risks and opportunities, including progress towards any climate-related targets it has set, and any targets it is required to meet by law or regulation.

28 To achieve this objective, an entity shall disclose:

(a) information relevant to the cross-industry metric categories (see paragraphs 29–31);

(b) industry-based metrics that are associated with particular business models, activities or other common features (see paragraph 32); and

(c) targets set by the entity, and any targets it is required to meet by law or regulation, to mitigate or adapt to climate-related risks or take advantage of climate-related opportunities (see paragraphs 33–37).

Paragraph 29 — Cross-Industry Metric Categories

29 An entity shall disclose information relevant to the cross-industry metric categories of:

29(a) — Greenhouse Gas Emissions [PRIMARY]

(a) greenhouse gases—the entity shall:

(i) disclose its absolute gross greenhouse gas emissions generated during the reporting period, expressed as metric tonnes of CO2 equivalent, classified as: (1) Scope 1 greenhouse gas emissions; (2) Scope 2 greenhouse gas emissions; and (3) Scope 3 greenhouse gas emissions;

(ii) measure its greenhouse gas emissions in accordance with the Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (2004) unless required by a jurisdictional authority or an exchange to use a different method;

(iii) disclose the approach it uses to measure its greenhouse gas emissions including: (1) the measurement approach, inputs and assumptions, (2) the reason for choosing that approach, and (3) any changes made during the reporting period;

(iv) for Scope 1 and Scope 2, disaggregate emissions between: (1) the consolidated accounting group; and (2) other investees excluded from (iv)(1) (for example, associates, joint ventures and unconsolidated subsidiaries);

(v) for Scope 2, disclose its location-based Scope 2 greenhouse gas emissions, and provide information about any contractual instruments that is necessary to inform users' understanding of the entity's Scope 2 greenhouse gas emissions;

(vi) for Scope 3, disclose: (1) the categories included within the entity's measure of Scope 3, in accordance with the Scope 3 categories described in the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (2011); and (2) additional information about Category 15 greenhouse gas emissions (financed emissions), if the entity's activities include asset management, commercial banking or insurance (see paragraphs B58–B63).

> ℹ *Scope 3 transition relief: In its first annual reporting period, an entity is exempt from disclosing Scope 3 (IFRS S2 Appendix C). Indonesia PSPK 2: 3-year grace period for Scope 3 measurement. Category 15 (financed emissions) is MANDATORY for commercial banking — use PCAF methodology.*

29(b)–(g) — Other Cross-Industry Metrics

Metric	Requirement
(b) Transition Risks	Amount and percentage of assets or business activities vulnerable to climate-related transition risks
(c) Physical Risks	Amount and percentage of assets or business activities vulnerable to climate-related physical risks
(d) Opportunities	Amount and percentage of assets or business activities aligned with climate-related opportunities
(e) Capital Deployment	Amount of capital expenditure, financing or investment deployed towards climate-related risks and opportunities
(f) Internal Carbon Prices	(i) Explanation of whether and how entity applies carbon price in decision-making; (ii) price per metric tonne of GHG emissions
(g) Remuneration	(i) Whether/how climate considerations factored into executive remuneration; (ii) percentage of executive management remuneration linked to climate-related considerations

Paragraph 32 — Industry-based Metrics (SASB)

32 An entity shall disclose industry-based metrics that are associated with one or more particular business models, activities or other common features that characterise participation in an industry. In determining the industry-based metrics, the entity shall refer to and consider the applicability of the industry-based metrics associated with disclosure topics described in the Industry-based Guidance on Implementing IFRS S2.

> ℹ *For Commercial Banking: SASB FN-CB-410a (ESG in credit analysis) is the primary industry metric. See Section 5 of this document for full FN-CB-410a.2 requirements.*

Paragraphs 33–36 — Climate-related Targets

33 An entity shall disclose the quantitative and qualitative climate-related targets it has set to monitor progress towards achieving its strategic goals, and any targets it is required to meet by law or regulation, including any greenhouse gas emissions targets. For each target, the entity shall disclose:

(a) the metric used to set the target;

(b) the objective of the target (for example, mitigation, adaptation or conformance with science-based initiatives);

(c) the part of the entity to which the target applies;

(d) the period over which the target applies;

(e) the base period from which progress is measured;

(f) any milestones and interim targets;

(g) if quantitative, whether it is an absolute target or an intensity target; and

(h) how the latest international agreement on climate change, including jurisdictional commitments, has informed the target.

34 An entity shall disclose information about its approach to setting and reviewing each target, including: (a) whether validated by a third party; (b) process for reviewing the target; (c) metrics used to monitor progress; and (d) any revisions and explanation for those revisions.

35 An entity shall disclose information about its performance against each climate-related target and an analysis of trends or changes in the entity's performance.

36 For each greenhouse gas emissions target disclosed in accordance with paragraphs 33–35, an entity shall disclose:

(a) which greenhouse gases are covered by the target;

(b) whether Scope 1, Scope 2 or Scope 3 greenhouse gas emissions are covered;

(c) whether the target is a gross or net GHG emissions target (if net, also disclose the associated gross target);

(d) whether the target was derived using a sectoral decarbonisation approach;

(e) the entity's planned use of carbon credits to offset greenhouse gas emissions, including: (i) extent of reliance on carbon credits; (ii) third-party verification/certification schemes; (iii) type of carbon credit (nature-based vs technological, reduction vs removal); (iv) credibility and integrity factors (e.g., permanence assumptions).

Disclosure Checklist — AI System Requirements

Requirement	Metric/Disclosure	BCA Data Source
29(a) Scope 1	Direct GHG emissions (tCO2e)	p.89-95
29(a) Scope 2	Indirect energy GHG (location-based + contractual)	p.89-95

Requirement	Metric/Disclosure	BCA Data Source
29(a) Scope 3	Value chain + Category 15 financed emissions (PCAF)	p.92 + PCAF calc
29(b) Transition	% portfolio exposed to high-carbon sectors	Sector analysis
29(c) Physical	% assets in climate-vulnerable zones	Geo-risk mapping
29(d) Opportunities	Green portfolio as % total (Rp113T)	p.55
29(e) CapEx	SF originations + ESG investments	p.51-58
29(f) Carbon Price	Internal carbon price (if applied)	Decision framework
29(g) Remuneration	% executive pay linked to climate KPIs	HR/Governance
Para 32 SASB	FN-CB-410a.2 ESG in credit analysis	p.62-64
Para 33-36 Targets	GHG targets + NZE pathway + carbon credits	p.89-95

Section 5: SASB FN-CB-410a — Industry-based Guidance

Template Variable: `{rag_context_sasb}`

> ℹ *Source: Industry-based Guidance on Implementing IFRS S2 (companion document, 538 pages). Commercial Banks sector, Disclosure Topic: Incorporation of ESG Factors in Credit Analysis. This is referenced by Para 32 of the main standard.*

FN-CB-410a.2: ESG Factors in Credit Analysis

Description of approach to incorporation of environmental, social and governance (ESG) factors in credit analysis.

Disclosure Requirements (11 Items)

#	Requirement
1	Describe approach to incorporation of ESG factors in credit analysis (aligned with GSIA definition of sustainable investment strategies)
2	Scope: commercial and industrial lending, as well as project finance
3	Describe policies that determine the approach to ESG incorporation
4	How ESG factors are incorporated in the process for estimating credit losses (e.g., allowance for loan losses)
5	Implementation: (5.1.1) Parties responsible for day-to-day incorporation; (5.1.2) Roles and responsibilities; (5.1.3) Approach to ESG research (in-house, third-party, or both); (5.1.4) How ESG factors incorporated into assessment of creditworthiness
6	Oversight: (6.1.1) Formal oversight bodies for ESG incorporation; (6.1.2) Roles and responsibilities of oversight bodies; (6.1.3) Criteria for quality review of ESG incorporation
7	Scenario analysis/modelling at portfolio level (climate change, natural resources, human capital, cybersecurity)
8	ESG trends broadly vs sector-specific, including geographical exposure to ESG factors
9	Significant concentrations of credit exposure to ESG factors (carbon-related assets, water-stressed regions, cybersecurity)
10	How ESG factors influence views on: (10.1) Macroeconomic factors; (10.2) Microeconomic factors; (10.3) Creditworthiness; (10.4) Maturity/tenor; (10.5) Expected loss (PD, EAD, LGD); (10.6) Collateral valuation

#	Requirement
11	Additional quantitative measures (e.g., Equator Principles projects reviewed, ESRM reviews completed)

Activity Metrics

Code	Activity Metric
FN-CB-000.A	Number and value of checking and savings accounts by segment: (1) Personal, (2) Small business, (3) Corporate/institutional
FN-CB-000.B	Number and value of loans by segment: (1) Personal, (2) Small business, (3) Corporate/institutional

Section 6: Indonesian Regulatory Cross-References

> ℹ️ *Indonesian banks must comply with POJK 51/2017, PSPK 1 (2024) and PSPK 2 (2025). IFRS S2 alignment is required progressively. This section maps IFRS S2 paragraphs to local regulatory requirements.*

IFRS S2 ↔ POJK/PSPK Mapping

IFRS S2	POJK 51/2017	PSPK 1 (2024)	PSPK 2 (2025)
Para 5-7 Governance	Section E.1 Governance	Chapter III Art. 5-7	Art. 5 Governance
Para 8-22 Strategy	Section E.3 Strategy	Chapter IV Art. 8-10	Art. 6 Strategy
Para 23-26 Risk Mgmt	Section E.4 Risk	Chapter V Art. 11-13	Art. 7 Risk Management
Para 29(a) GHG	Section E.5 Environment	Chapter VI Art. 14	Art. 8 Metrics (3yr grace for Scope 3)
Para 29(b)-(g) Other	Section E.5-E.8	Chapter VI-VII	Art. 8-9 Metrics & Targets
Para 32 SASB	Section E.6 SF Products	Art. 15 SF Portfolio	Art. 10 Industry Metrics
Para 33-37 Targets	Section E.9 Targets	Art. 16 Targets	Art. 11 Target Disclosure

Transition Relief & Grace Periods

Provision	Detail
IFRS S2 First-Year Exemption	In first annual reporting period applying IFRS S2: exempt from Scope 3 disclosure; may report only climate-related disclosures (not full IFRS S1); may use prior-period comparative only if available
PSPK 2 Scope 3 Grace Period	3-year grace period for Scope 3 greenhouse gas emissions measurement. Banks must disclose Scope 1 and 2 immediately but have until 2028 reporting cycle for full Scope 3 (incl. Category 15 financed emissions via PCAF)
PSPK 2 Scenario Analysis	Phased approach: qualitative scenario analysis required from Year 1; quantitative scenario analysis required from Year 3 (2028). May use simplified approaches in interim.

Provision	Detail
Industry Metrics (SASB)	Banks expected to reference SASB FN-CB standards from first reporting period. Full quantitative disclosure of FN-CB-410a metrics required by Year 2 (2027).

Section 7: AI System Implementation Notes

> ℹ️ *This section documents how the AI report generator should use this reference document as RAG context for report generation.*

Template Variable Mapping

Variable	Content Source	Report Section
{rag_context_governance}	Pillar 1 (Para 5-10) + Checklist	Section 6.4 Governance
{rag_context_strategy}	Pillar 2 (Para 11-22) + Checklist	Section 6.5 Strategy
{rag_context_risk}	Pillar 3 (Para 23-26) + Checklist	Section 6.6 Risk Management
{rag_context_metrics}	Pillar 4 (Para 27-37) + Checklist	Section 6.7 Metrics & Targets
{rag_context_sasb}	Section 5 (FN-CB-410a) + Activity Metrics	Section 6.8 Industry Metrics

Generation Rules

- Rule 1: Each disclosure item in the checklist must map to at least one data point from the source tables (BCA SR data).
- Rule 2: If a required disclosure has no available data, the AI must flag it as "Data Gap" with a recommendation for future data collection.
- Rule 3: Verbatim standard text should NOT appear in the generated report — it should be transformed into entity-specific narrative.
- Rule 4: Cross-references between pillars must be maintained (e.g., Para 6(a)(v) references Para 29(g) and Para 33-36).
- Rule 5: Indonesian regulatory requirements (POJK/PSPK) take precedence where they exceed IFRS S2 requirements.
- Rule 6: Transition reliefs should be noted in the report methodology section, not embedded in individual disclosures.
- Rule 7: For banking-specific disclosures, PCAF methodology is mandatory for Category 15 (financed emissions).
- Rule 8: GRI 305 (Emissions) cross-walk should be applied where IFRS S2 Para 29(a) overlaps with GRI requirements.

Quality Validation Criteria

- Completeness: All checklist items addressed (disclosed or justified as not applicable)
- Accuracy: Metrics match source data tables within 0.1% tolerance
- Consistency: Year-over-year figures reconcile with prior period disclosures
- Compliance: Every POJK 51 mandatory field populated
- Coherence: Cross-pillar references are internally consistent (e.g., targets in Pillar 4 match strategy in Pillar 2)